PAID VU LMS HANDLING by Mam Mehwish 03184148783

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MCQ 1:

Suppose you have just passed your Intermediate and now planning to get admission in some college for graduation. You have three choices of colleges A, B, and C. You bought the prospectuses for all these three colleges and finally got admission in College B. The cost incurred on the prospectuses of other two colleges A and C will be considered as:

- A) Fixed Cost
- B) Opportunity Cost
- C) Sunk Cost
- D) None of the given options

Correct Option: C) Sunk Cost

MCQ 2:

Which one of the following is a non-cash item?

- A) Sales
- B) Purchases
- C) Depreciation
- D) Depreciation

Correct Option: C) Depreciation

MCQ 3:

A firm's capital structure may include which of the following?

- A) Common stocks
- B) All of the given options
- C) Preferred Stocks
- D) Bonds

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Correct Option: B) All of the given options

MCQ 4:

Which one of the following is NOT considered under MACRS of depreciation?

- A) Salvage value
- B) Historical cost value
- C) Depreciable value
- D) Book value

Correct Option: A) Salvage value

MCQ 5:

Standard deviations for Investment A and Investment B are 15% and 32% respectively. This indicates that:

- A) Investment B is less volatile than Investment A
- B) Investment A is equally volatile to Investment B
- C) Investment B is more volatile than Investment A
- D) Investment A is more volatile than Investment B

Correct Option: C) Investment B is more volatile than Investment A

MCQ 6:

The book value of a system is Rs. 35,500 at the end of year 4 of its life. What will be the total after-tax cash flow from sale if we sell this system for Rs. 20,000 at this time? (Tax rate is 35%)

- A) Rs. 25,425
- B) Rs. 15,000
- C) Rs. 15,220
- D) Rs. 20,327

Correct Option: A) Rs. 25,425

MCQ 7:

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Which one of the following formulas can be used to calculate Operating Cash Flow (OCF) under tax shield approach?

- A) OCF = (sales – cost) x (1 – tax rate) – (depreciation x tax rate)
- B) OCF = (sales + cost) x (1 – tax rate) + (depreciation x tax rate)
- C) OCF = (sales – cost) x (1 + tax rate) + (depreciation x tax rate)
- D) OCF = (sales – cost) x (1 – tax rate) + (depreciation x tax rate)

Correct Option: D) OCF = (sales – cost) x (1 – tax rate) + (depreciation x tax rate)

MCQ 8:

A project whose acceptance prevents the acceptance of one or more alternative projects is referred to as a(n):

- A) Dependent project
- B) Independent project
- C) Contingent project
- D) Mutually exclusive project

Correct Option: D) Mutually exclusive project

MCQ 9:

While evaluating an investment project, which of the following cash flows should be considered?

- A) Operating cash flows
- B) Decremental cash flows
- C) Incremental cash flows
- D) Relevant cash flows

Correct Option: D) Relevant cash flows

MCQ 10:

If there is zero depreciation, taxes, and fixed cost of the project, the operating cash flows for the project would always be the same as:

- A) Future cash flows
- B) Net working capital

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- C) EBIT

- D) None of the given options

Correct Option: C) EBIT

MCQ 1

- Option 1: Average accounting return equal to target average accounting return

- Option 2: Target average accounting return equal to average accounting return

- Option 3: Target average accounting return exceeds average accounting return

- Option 4: Average accounting return exceeds target average accounting return

- Correct Option: Average accounting return equal to target average accounting return

MCQ 2

- Option 1: Payback Period

- Option 2: Profitability Index

- Option 3: Average Accounting Return

- Option 4: Net Present Value

- Correct Option: Average Accounting Return

MCQ 3

- Option 1: PI (Profitability Index)

- Option 2: IRR (Internal Rate of Return)

- Option 3: NPV (Net Present Value)

- Option 4: Payback period

- Correct Option: NPV (Net Present Value)

MCQ 4

- Option 1: IRR (Internal Rate of Return)

- Option 2: AAR (Average Accounting Return)

- Option 3: NPV (Net Present Value)

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- Option 4: PI (Profitability Index)

- Correct Option: IRR (Internal Rate of Return)

MCQ 5

- Option 1: Cost of preferred stock

- Option 2: Cost of retained earnings

- Option 3: Cost of common equity

- Option 4: Cost of debt

- Correct Option: Cost of debt

MCQ 6

- Option 1: None of the given options

- Option 2: An investment is acceptable if its AAR is less than a benchmark AAR

- Option 3: AAR is a rate that makes the NPV equal to zero

- Option 4: An investment is acceptable if its AAR is greater than a benchmark AAR

- Correct Option: An investment is acceptable if its AAR is greater than a benchmark AAR

MCQ 7

- Option 1: Internal Rate of Return (IRR)

- Option 2: Profitability Index (PI)

- Option 3: Net Present Value (NPV)

- Option 4: Average Accounting Return (AAR)

- Correct Option: Net Present Value (NPV)

MCQ 8

- Option 1: 6%

- Option 2: 9%

- Option 3: 15%

- Option 4: 24%

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- Correct Option: 9%

MCQ 9

- Option 1: Unsystematic risk plus diversifiable risk
- Option 2: Systematic risk plus market risk
- Option 3: Systematic risk plus diversifiable risk
- Option 4: Systematic risk plus non-diversifiable risk
- Correct Option: Systematic risk plus diversifiable risk

MCQ 10

- Option 1: Variable cost per unit
- Option 2: Selling price per unit
- Option 3: Administration cost per unit
- Option 4: Unit sales
- Correct Option: Unit sales

1. Preferred stock is a hybrid security because it possesses the features of both _____ and _____.

- A) Preferred stock; Debt
- B) Common stock; Treasury bills
- C) Treasury bills; Bonds
- D) Common stock; Debt
- Correct Option: A) Preferred stock; Debt

2. A project whose acceptance prevents the acceptance of one or more alternative projects is referred to as a(n):

- A) Independent project
- B) Contingent project
- C) Dependent project

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- D) Mutually exclusive project

- Correct Option: D) Mutually exclusive project

3. An investment will be _____ if the IRR doesn't exceed the required return and _____ otherwise.

- A) Rejected; accepted

- B) Accepted; accepted

- C) Accepted; rejected

- D) Rejected; rejected

- Correct Option: A) Rejected; accepted

4. For preparing pro forma financial statements, we need to estimate all of the following quantities EXCEPT:

- A) Unit sales

- B) Administration cost per unit

- C) Selling price per unit

- D) Variable cost per unit

- Correct Option: C) Selling price per unit

5. Which of the following refers to the use of borrowed money to increase the return on equity of an investment purchase?

- A) Financial Leverage

- B) Structural Leverage

- C) Operating Leverage

- D) None of the given options

- Correct Option: A) Financial Leverage

6. Which of the following is NOT a shortcoming of Payback Rule?

- A) It fails to consider risk differences

- B) Simple and easy to calculate

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- C) Time value of money is ignored

- D) None of the given options

- Correct Option: D) None of the given options

7. Which of the following is the overall return the firm must earn on its existing assets to maintain the value of the stock?

- A) WACC (Weighted Average Cost of Capital)

- B) IRR (Internal Rate of Return)

- C) AAR (Average Accounting Return)

- D) MIRR (Modified Internal Rate of Return)

- Correct Option: A) WACC (Weighted Average Cost of Capital)

8. The next dividend for a company is Rs. 6 per share. The stock current price is Rs. 57 per share. What will be the cost of capital if the dividends are estimated to grow steadily at 5%?

- A) 15.53%

- B) 14.22%

- C) 13.07%

- D) 12.88%

- Correct Option: A) 15.53%

9. Which one of the following is a non-cash item?

- A) Purchases

- B) Sales

- C) Depreciation

- D) Inventory

- Correct Option: C) Depreciation

10. Variability of return means to which extent returns change around an ----------:

- A) Minimum Return

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- B) Maximum Return

- C) Average Return

- D) Expected Return

- Correct Option: C) Average Return

1. Mr. Nadeem has bought 100 shares of a corporation one year ago at Rs. 22 per share. Over the last year, he received a dividend of Rs. 2.50 per share. At the end of the year, the stock sells for Rs. 28. What will be the capital gains yield?

Options:

A. 25.10%

B. 45.00%

C. 27.27% (Correct)

D. 15.85%

2. While evaluating an investment project, which of the following cash flows should be considered?

Options:

A. Operating cash flows

B. Decremental cash flows

C. Relevant cash flows (Correct)

D. Incremental cash flows

3. Unsystematic Risk is also known as:

Options:

A. None of the given options

B. Diversifiable Risk (Correct)

C. Diversifiable Risk

D. Non-diversifiable Risk

4. The projected cash flows from a project are:

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Year 1: Rs. 100

Year 2: Rs. 300

Year 3: Rs. 400

Year 4: Rs. 800

The Project cost is Rs. 800. What would be the payback period for the project?

Options:

A. 3.00 Years (Correct)

B. 3.67 Years

C. 2.67 Years

D. 2.00 Years

5. Which of the following capital budgeting technique is used by the financial management to increase the share value of the company?

Options:

A. Payback period

B. NPV

C. PI

D. IRR (Correct)

6. Which of the following best describes dividend yield?

Options:

A. It tells that how much tax is paid for each unit invested in a company's shares

B. It tells that how much tax is paid on each unit deposited in a broker account

C. It tells that how much interest is earned on each unit deposited in a broker account

D. It tells that how much income is earned for each unit invested in a company's shares (Correct)

7. Which of the following is NOT a shortcoming of Payback Rule?

Options:

A. None of the given options

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B. Simple and easy to calculate

C. It fails to consider risk differences

D. Time value of money is ignored (Correct)

8. Standard deviations for Investment A and Investment B are 15% and 32% respectively. This indicates that:

Options:

A. Investment A is more volatile than Investment B (Correct)

B. Investment B is more volatile than Investment A

C. Investment B is less volatile than Investment A

D. Investment A is equally volatile to Investment B

9. A project whose acceptance prevents the acceptance of one or more alternative projects is referred to as a(n):

Options:

A. Contingent project

B. Mutually exclusive project (Correct)

C. Independent project

D. Dependent project

10. Which of the following rate makes the Net Present Value (NPV) equal to zero?

Options:

A. Average Accounting Return (AAR)

B. Required Rate of Return (RRR)

C. Weighted Average Cost of Capital (WACC)

D. Internal Rate of Return (IRR) (Correct)

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